

INDIA'S AI AMBITION



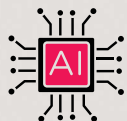
GOAL
Build a \$1 trillion
AI economy by
2030



**INVESTMENT BY
GOVERNMENTS**
\$1.2 billion in India
vs. US (\$10B+),
China (\$30 billion)



**AI TALENT
GROWTH**
256% since 2016
—highest globally



CHALLENGE
No indigenous
chip fabs, limited
access to GPUs
and memory stack



EDGE
Focus on Small
Language Models
(SLMs) tailored to
local needs



In other words, India's AI future may not rest in matching Silicon Valley model-for-model, but in solving problems unique to its markets at a massive scale and lower cost.

One undeniable strength India brings to the AI race is talent. Since 2016, the country has seen a staggering 256% increase in AI talent—the highest growth rate globally, according to the AI Index Report 2025.

India has around 18 million software developers, making it the world's second-largest talent pool after the US in terms of GitHub activity. GitHub is a proprietary developer platform for developers to create, manage and share code.

SECRET WEAPON?

Perhaps India's biggest opportunity lies in a uniquely homegrown concept: Digital Public Infrastructure (DPI).

Services like UPI for payments and Aadhaar for digital identity have transformed the nation, reducing friction in financial transactions, enabling financial inclusion, streamlining welfare distribution, and even facilitating the world's largest vaccination programme, undertaken after the coronavirus pandemic.

Why not build and deploy AI at scale by contextualising SLMs to help companies move from experimenting with generative AI to mainstreaming it? "This can increase employee productivity, improve business processes, generate new revenue, and rethink cost structures," says Bindra.

Puneet Chandok, President of Microsoft India and South Asia, says, "At Microsoft, we're seeing Indian enterprises report up to 5X ROI (return on investment) on GenAI investments, and 90% of

ed Arab Emirates (UAE) surged ahead. The UAE, for instance, has emerged as a surprise AI hub with its powerful Falcon LLM, currently the most advanced, large Arabic-language model.

Yet, India may still hold a unique edge.

SMALL IS BEAUTIFUL

India's advantage lies in small language models (SLMs) tailored for local contexts and languages, say tech experts. With its vast population and cultural and linguistic

diversity, the country is fertile ground for specialised, context-aware AI.

"LLMs are very good for general-purpose enquiry, insights and information, but they are not necessarily purpose-fit or contextualized for a certain domain, industry, or client," says Mittal. "This is where you need SLMs. India can be at the forefront, not by building monolithic foundation models, but by focusing on how fast and at what cost you apply AI, making it mainstream in enterprises," he adds.